

Astana Hub
April 11, 2019



Cinemas of the Future

- 1 Ergonomic theater design
- 2 Innovative technology infrastructure
- 3 Unique guest experience

Traditional theater design and three major problems

1 Distraction

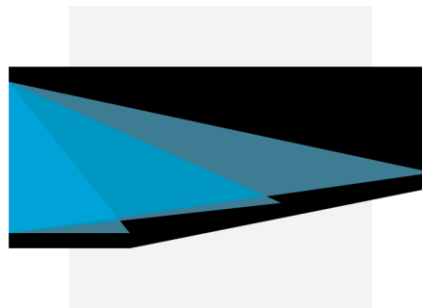
People in front of you might somehow distract you from watching

2 Discomfort

After a long movie, you might feel tiredness, neck pain, and lower back pain

3 Inequality

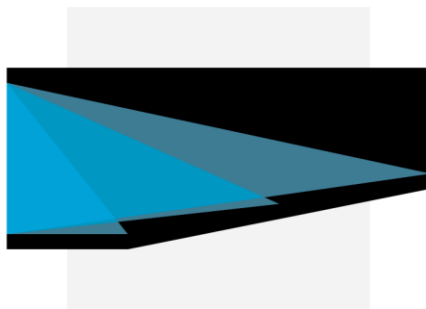
Front rows are too close, back rows are too far, and only a few are the best



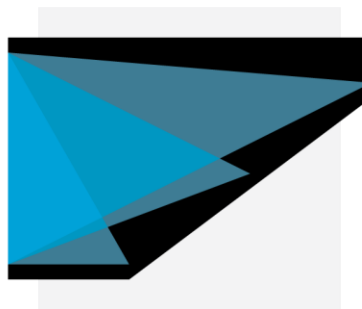
traditional theater

Traditional solutions and their limitations

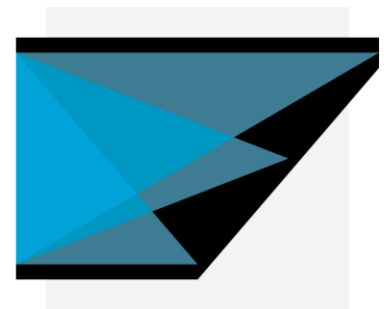
- 1 Increasing the screen size**
But you need a massive projector
- 2 Increasing the audience slope**
But you have less space and someone's legs are right behind your head
- 3 Making the seats more comfortable**
But screen is still vertical and your head position should be also vertical



traditional theater



IMAX cinema



ideal cinema

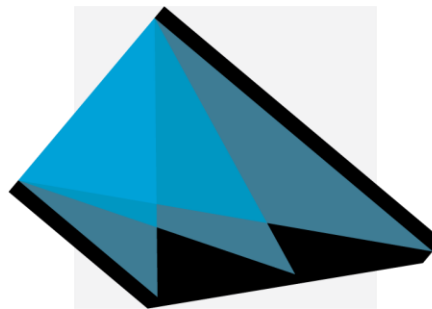
Ergonomic theater design and three positive outcomes

In Kinnow, the screen is *tilted* at about 45 degrees and set slightly *above* the audience, which solves all three problems

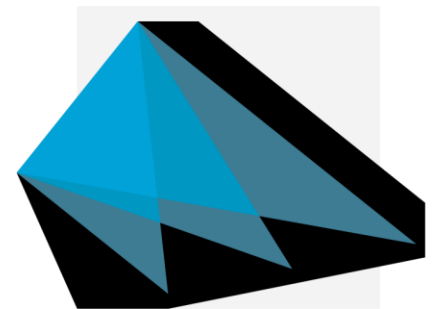
- 1 **No distraction** – because you don't see people in front of you
- 2 **No discomfort** – because you are leaning back in your seat
- 3 **More equality** – because of special seating arrangement



ideal cinema



new angle



kinnow

Innovative technology infrastructure

Part 1. Hardware

SAMSUNG



Cinema LED Technology

No more projectors

Samsung Onyx Cinema LED

Bezel-less 640 x 900 mm modules

- 4K resolution & HDR picture refinement
- Bright colors, true black, infinite contrast ratio
- Harman JBL sound system
- Always improving

Currently 30+ theaters around the world:

Austria, Brazil, China, Colombia, France, Germany,
India, Malaysia, Mexico, South Korea, Switzerland,
Thailand, USA, Vietnam

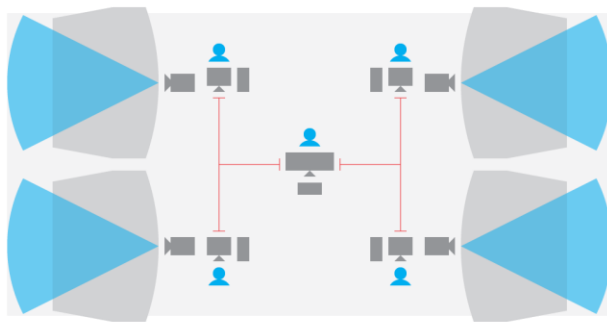


now

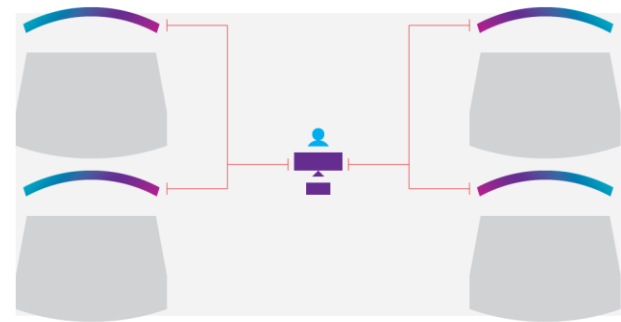
Innovative technology infrastructure

Part 2. Software

- Unified software solution for cinema management
- Flexible ticket pricing from passenger airline industry
- One workstation and one manager for all displays
- Simple drag-and-drop movie scheduling
- Automated movie screenings



traditional theater



kinnow

Unique guest experience

Traditional cinema:

- Queues and carton tickets
- Cashiers and ticket controllers
- Crispy snacks and fizzy drinks with noisy packaging
- Sweet spots and best rows

Cinema of the future:

- App and contactless cards
- Touch displays and turnstiles
- Healthy food and packaging *insights* from passenger airlines
- The best view for everyone

Business model



VALUE PROPOSITION

KEY PARTNERS

- 1 Display provider
Samsung
- 2 Sound system provider
Harman JBL
- 3 Other hardware provider
AppleTech
Kazakhstan
- 4 Film distributors

KEY ACTIVITIES

IP development
Software development
Individual theater design
Hardware installation
Technical post-service

KEY RESOURCES

IP rights
Software platform
Proprietary theater design
Brand & service guidelines
Human resources

RELATIONSHIPS

Brand & service trainings
Individual theater design
Hardware installation
Technical post-service

CHANNELS

Website
Movie trailers & posters
CinemaCon & film festivals
Famous filmmakers

CUSTOMERS

- 1 Film exhibitors
160,000+ theaters worldwide
- 2 Property development companies
- 3 Conference centers

COST STRUCTURE

- 1 IP registration fees
- 2 Film distribution fees
- 3 Display, Sound system, & Other hardware leasing
- 4 Salaries & Overheads

REVENUE STREAMS

- 1 Brand and IP licensing
- 2 Film distribution fees
- 3 Display, Sound system, & Other hardware leasing
- 4 Individual theater design & Hardware installation
- 5 Software subscription fees

Global players

IMAX

IMAX Corporation
Mississauga, Canada

Founded: 1967
Offices: China, UK, USA

Strengths:

Globally recognized brand
Partnerships with major studios
Branding in trailers and posters

Cinema network:

1,500+ theaters in 80 countries

Cinema solutions:

Digital projection system
Digital sound system
Theater design

Services:

Trainings, maintenance, calibration

DOLBY CINEMA

Dolby Laboratories
San Francisco, USA

Founded: 1965
Offices: Worldwide

Strengths:

Acclaimed industry standard
Substantial IP assets (9,000+ patents)
R&D spendings (\$200mln+ annually)

Cinema network:

170+ theaters in 9 countries

Cinema solutions:

Dolby Vision (projection system)
Dolby Atmos (sound system)
Digital cinema servers

Services:

Trainings, maintenance, calibration

SCREEN X

CJ Corporation
Seoul, South Korea

Founded: 2012
Offices: No

Strengths:

New fast-growing competitor
Part of the large cinema chain CGV
Support from Korean government

Cinema network:

200+ theaters in 18 countries

Cinema solutions:

270-degree projection system
Theater design

Services:

Trainings, maintenance, calibration

The team

- **Nurzhan Berkimbayev**
KazGASA, MMU, SMU, KIMEP
- **Jiger Kairatuly**
KIMEP, Stanford
- **Everythink Talent Network**

Our on-demand consultants. More than 100 young talented professionals working in various companies and different industries across Kazakhstan.

Companies include: American Chamber, Atameken, Big Four (Deloitte, EY, KPMG, PwC), Coca Cola, Forbes, Freedom Finance, JTI, Kinstellar, Mars, National Bank, P&G, Sanofi, and others.



The company

- Our mission** To bring joy to people around the world through the combined innovations in technology, architecture, and cinematography
- Our vision** To become a world-renowned innovative brand from Kazakhstan through the global network of unique movie theaters
- Our roadmap** Today – Cinemas of the Future (proprietary theater design & software)
In 10 years – University of the Future (design+technology)
In 20 years – City of the Future
- Our brand** **What does the brand name mean?**
- a) Kinnow is a high yield mandarin hybrid, a fruit of high export value
 - b) Kinnow is an acronym from Kazakhstan Innovations Worldwide
 - c) Kinnow is close to the Russian word кино